THE 18-YEAR REAL-ESTATE CYCLE

The idea that ups and downs in the real estate market run in an 18-year cycle is based on US studies of the property market over two centuries by economic forecaster Phillip J. Anderson. He demonstrated that land sales and property construction peak on average every 18 years—14 years up and four years down.

5%
annual housing price increase in US in 2015

NEED TO KNOW

- **Appreciation** Rise in the value of a property over time.
- **Depreciation** Fall in the value of a property over time.
- **Capital gain** The increase in value of a property (or other asset) from its purchase price; this can be short term (under one year) or long term.
- **BRR** Buying, Refurbishing, and Refinancing strategy.